

- RAG Learning

3.4 Influences on Business Decisions

Business — Edexcel (9BS0) — Theme 3: Business decisions and strategy

Topic 3.3 showed how numbers can inform decisions. This topic explains why real decisions are rarely made on the numbers alone. The time horizon managers are judged on, the culture of the organisation, the balance between shareholders and other stakeholders, and ethical considerations all shape what a business actually does. These are the ideas that turn a calculation into a judgement, so they supply much of the evaluation in Paper 2 and Paper 3 answers.

Short-termism — a focus on immediate results (this year's profit, dividends, share price) at the expense of long-term performance.

Long-termism — decision-making that prioritises sustainable long-term growth and value, even at the expense of short-term profit.

Evidence-based decision making — decisions based on data, research and quantitative analysis.

Subjective decision making — decisions based on intuition, experience, hunch or personal preference.

Corporate culture — the shared values, attitudes, beliefs and norms that shape how people in an organisation behave ("the way we do things around here").

Stakeholder — any individual or group with an interest in, or affected by, the activities of a business.

Shareholder — an owner of shares in a limited company; a stakeholder with a legal ownership stake.

Business ethics — the moral principles that guide decisions: doing what is morally right rather than only what is legal or profitable.

Corporate Social Responsibility (CSR) — a business voluntarily taking account of its impact on society and the environment beyond its legal obligations.

1. Corporate influences (3.4.1)

Short-termism versus long-termism

	Short-termism	Long-termism
Focus	Quarterly results, dividends, share price, bonuses	Market share, brand, innovation, sustainability
Typical behaviour	Cutting R&D, training and maintenance to protect profit; share buybacks; high dividend payouts	Heavy reinvestment of profit; accepting lower returns now for growth later
Causes	Pressure from shareholders and analysts; executive bonuses tied to annual profit or share price; threat of takeover	Founder or family ownership; employee ownership; a long-term investor base; clear mission
Risks	Underinvestment weakens future competitiveness	Shareholders may sell if returns are low; the firm may run short of cash

Examples: Thames Water paid substantial dividends and built up debt of around £16–19bn while under-investing in infrastructure; by 2024–25 it was close to financial collapse and needed emergency creditor funding — a widely cited case of short-termism. By contrast, Amazon reinvested its cash flow into logistics and cloud computing for years while reporting little profit, and family-controlled firms such as JCB can plan over decades without quarterly market pressure.

Evidence-based versus subjective decision making

	Evidence-based	Subjective
Basis	Market research, sales data, investment appraisal, decision trees, ratio analysis, big data and AI analytics	Managers' experience, intuition ("gut feel"), personal values

Advantages	Reduces risk; decisions can be justified to shareholders; less bias	Fast; cheap; useful when data do not exist (new markets, new products); draws on tacit expertise
Disadvantages	Slow and costly; data may be out of date or unreliable; "analysis paralysis"; ignores qualitative factors	Prone to bias and overconfidence; hard to justify; depends on the quality of the individual

In practice most decisions combine both: data narrow the options, then judgement chooses. Tesco's Clubcard data drive range and pricing decisions; James Dyson persisted through thousands of prototypes on conviction when there was no market evidence for a bagless vacuum cleaner.

Exam Tip: When evaluating any quantitative technique from 3.3, 3.5 or elsewhere, "the numbers should be combined with qualitative judgement" is only a Level 2 point unless you explain *which* qualitative factor matters in the context and *why* it could outweigh the data. Short-termism is a powerful concept for this: a positive NPV project may be rejected because it would depress this year's profit and the chief executive's bonus.

2. Corporate culture (3.4.2)

Strong and weak cultures

	Strong culture	Weak culture
Meaning	Values are clearly defined, widely shared and consistently acted on	Values are unclear, not shared, or differ between departments and sites
Benefits / problems	Motivation, loyalty, less need for rules and supervision, consistent customer experience, easier recruitment of people who "fit"	Inconsistent behaviour; staff follow personal goals; weak identity; but may be more open to change

Risks	Groupthink; resistance to change; a strong culture can be a strongly <i>bad</i> one	Low commitment, higher labour turnover
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A strong culture is not necessarily a good one. The Post Office's treatment of sub-postmasters during the Horizon IT scandal, in which more than 900 were prosecuted on the basis of faulty data, reflected a deeply entrenched institutional culture that defended the organisation and its system rather than questioning them.

Classification of company cultures

Charles Handy — *Gods of Management* (1978) and *Understanding Organizations*. Handy classified organisational cultures into four types — **power, role, task and person** — each suited to different circumstances.

Culture	Features	Suits	Example
Power	Power concentrated in one person or a small group at the centre; few rules; quick decisions; loyalty to the leader	Small, entrepreneurial or founder-led firms needing fast decisions	Sports Direct under Mike Ashley; many founder-run SMEs. Risk: over-dependence on one person and poor treatment of staff (the 2016 parliamentary inquiry into working practices at Sports Direct's Shirebrook warehouse)
Role	Bureaucratic; power comes from position in the hierarchy; clear rules, procedures and job descriptions	Large organisations in stable markets where consistency and control matter	The civil service, NHS trusts, high-street banks, large insurers
Task	Emphasis on getting the job done; power based on expertise; project teams formed	Innovative, fast-changing markets; project-based work	Tesla's design and engineering teams (used in the 2024 Paper 2 mark scheme); advertising agencies; consultancies

	and disbanded; matrix structures		
Person	The organisation exists to serve the individuals in it; loose structure; professionals with high autonomy	Groups of professionals sharing resources	Barristers' chambers, GP partnerships, architects' practices

How corporate culture is formed

- **Founders and leaders** — their values and behaviour set norms (Anita Roddick at The Body Shop; Steve Jobs at Apple).
- **History and past success** — what worked before becomes “how we do things”.
- **Recruitment and selection** — hiring people who fit reinforces the culture.
- **Reward and appraisal systems** — what is rewarded is repeated (sales bonuses can create a hard-selling culture, as in the PPI mis-selling scandal in UK banks).
- **Organisational structure** — tall hierarchies encourage role culture; flat structures and teams encourage task culture.
- **Industry and national culture** — expectations of the sector and country.
- **Stories, symbols and rituals** — dress codes, office layout, how success is celebrated.

Difficulties in changing an established culture

- Culture is deeply embedded in attitudes, not just rules — it cannot be changed by memo.
- Employees resist because of fear of the unknown, loss of status or security, and loyalty to “the old way”.
- Middle managers who succeeded in the old culture may block change.
- It takes years, requires consistent leadership behaviour, and is expensive (training, new reward systems, sometimes replacing senior staff).
- Mergers and takeovers bring clashing cultures together.

Examples: Satya Nadella's shift at Microsoft from 2014 towards a collaborative “growth mindset” culture is widely credited with its revival; Uber replaced its founder in 2017 after scandals about its

aggressive culture; Boeing's attempts to restore a safety and engineering culture after the 737 MAX crashes and the 2024 door-plug incident show how slowly culture changes.

Exam Tip: Handy's four types were directly examined in the June 2024 Paper 2 (a 10-mark question on Tesla's task culture). The mark scheme's counterbalance argued that *as Tesla grows, a role culture might become more appropriate*. That is the model evaluation: the "best" culture depends on the firm's size, market and stage of development.

3. Shareholders versus stakeholders (3.4.3)

Internal and external stakeholders

Stakeholder	Internal / external	Main objectives
Shareholders (owners)	Internal	Dividends, rising share price, long-term value
Employees	Internal	Fair pay, job security, good conditions, development
Managers and directors	Internal	Salary, bonuses, status, business growth
Customers	External	Quality, value for money, service, ethical products
Suppliers	External	Regular orders, fair prices, prompt payment
Lenders / banks	External	Interest paid, loans repaid, security
Government	External	Tax revenue, employment, compliance with law
Local community	External	Jobs, low pollution, support for local causes
Pressure groups	External	Ethical and environmental behaviour

Stakeholder and shareholder influences

	Shareholder approach	Stakeholder approach
Principle (spec wording)	The business should focus purely on shareholder returns (increasing share price and dividends) in its decisions and objectives	The business should consider all of its stakeholders in its decisions and objectives
Argument for	Shareholders own the firm and bear the risk; clear, measurable objective; profit funds investment; managers are accountable	Long-term success depends on loyal staff, customers and suppliers; reduces risk of boycotts and regulation; strengthens brand
Argument against	Encourages short-termism; can damage reputation and relationships	Objectives become vague; managers can justify poor performance; higher costs
Example	P&O Ferries dismissing 786 seafarers without notice in March 2022 to cut costs — widely condemned and investigated	Patagonia; the John Lewis Partnership (employee-owned); B Corp-certified firms such as innocent drinks

Potential for conflict between profit-based and wider objectives

- **Shareholders vs employees** — higher dividends vs higher wages; automation and redundancy.
- **Shareholders vs customers** — higher prices and margins vs value for money.
- **Shareholders vs community / environment** — cheapest production method vs lower pollution; closing a local plant.
- **Customers vs suppliers** — lower prices achieved by squeezing supplier prices.
- **Managers vs shareholders** — growth and executive pay vs profit and dividends.

But the conflict is not inevitable. **In the long run, interests often converge**: well-paid, motivated staff are more productive; satisfied customers are loyal; a good reputation reduces risk. The conflict is sharpest in the *short run* and when the firm is under financial pressure.

Exam Tip: The June 2024 Paper 2 asked whether a firm should “focus purely on shareholder returns” (10 marks). The judgement credited was conditional: *it depends on whether shareholders take a long-termist approach* — they may accept lower dividends now to fund growth. Linking 3.4.1 (short-termism) to 3.4.3 (shareholders) like this is exactly the synoptic reasoning Level 4 rewards.

4. Business ethics (3.4.4)

Ethics of strategic decisions: trade-offs between profit and ethics

Ethical choices often cost money in the short run: paying suppliers fairly, sourcing sustainably, refusing profitable but harmful contracts, or paying above the minimum wage. Firms weigh these costs against benefits:

Benefits of ethical behaviour	Costs / drawbacks
Brand differentiation; customers willing to pay a premium (Fairtrade, B Corp)	Higher costs — ethical sourcing, audits, higher wages
Easier recruitment and retention of staff	Lower margins if prices cannot be raised
Reduced risk of fines, boycotts and legal action	Competitors with lower standards may undercut
Access to ethical investors and ESG funds	Accusations of hypocrisy if claims are exaggerated (“greenwashing”)

Unethical decisions can destroy value: Volkswagen's “dieselgate” emissions cheating (2015) cost it more than €30bn in fines and compensation; Boohoo's share price fell sharply in 2020 after reports of poor pay and conditions at Leicester suppliers.

Pay and rewards

- **Executive pay** — large pay awards, bonuses and share options for chief executives raise questions of fairness, especially when paired with redundancies or poor performance. UK quoted companies with more than 250 UK employees must publish the ratio of CEO pay to employee pay, and shareholders have a binding vote on directors' remuneration policy.
- **Pay of the lowest paid** — paying the National Living Wage (£12.21 an hour from April 2025 for those aged 21+) is a legal minimum; paying the voluntary Real Living Wage (set by the Living Wage Foundation) is an ethical choice made by many firms.
- **Gender pay gap** — employers with 250+ staff must publish gender pay gap data (since 2017).
- **Bonuses and culture** — bonus schemes that reward sales volume can encourage mis-selling.

Corporate Social Responsibility (CSR)

CSR means going beyond legal minimums: reducing environmental impact, investing in local communities, ethical supply chains, fair treatment of staff. Many large firms publish sustainability or ESG reports.

- **Arguments for CSR:** improves reputation and brand loyalty; attracts staff and investors; anticipates future regulation; can reduce costs (energy efficiency, less waste); a licence to operate in the community.
- **Arguments against / limitations:** costs reduce profit and dividends; can be a public-relations exercise with little substance; hard to measure; managers are using shareholders' money for causes shareholders did not choose.

Examples: Patagonia's 2022 transfer of ownership to a trust and non-profit; Unilever's sustainability commitments (and its later scaling back of some targets in 2024, which shows the tension with shareholder pressure); the CMA's Green Claims Code and ASA rulings against misleading green advertising, which make empty CSR claims riskier.

Exam Tip: Avoid the one-sided answer that ethics “always pays in the long run”. Some unethical firms have been very profitable for years, and some ethical firms have struggled. Stronger evaluation identifies *when* ethical behaviour pays: when customers can observe it and value it, when the brand is central to the product, and when media and social-media scrutiny are high.

How Edexcel rewards this topic

- **Knowledge:** precise definitions; naming the correct Handy culture; distinguishing shareholders from stakeholders.
- **Application:** identify the stakeholders named in the extract, the owners and their stake (e.g. founders owning 60%), the culture evident from the evidence.
- **Analysis:** trace consequences — e.g. power culture → fast decisions → rapid response to market changes, but → dependence on one person → poor decisions go unchallenged.
- **Evaluation:** judgements that depend on time horizon, ownership, size and stage of growth, and the market. Edexcel's own mark schemes often frame context using **MOPS** (Market, Objectives, Product, Situation).

Common mistakes

- Treating shareholders as external stakeholders — they are internal owners.
- Assuming short-termism is always wrong — a firm with a cash-flow crisis must focus on the short term to survive.
- Confusing role culture with power culture: role culture is about rules and positions, not one individual.
- Saying CSR is legal compliance — CSR is what firms do *beyond* the law.
- Listing stakeholder conflicts without saying which stakeholder is likely to win and why (power, interest, ownership).

Quick recall

- Short-termism: dividends, share price, bonuses — risks underinvestment; long-termism: reinvestment, sustainability
- Evidence-based (data, research) vs subjective (intuition, experience) — usually combined
- Strong culture: shared values, consistent behaviour — but can resist change or be harmful
- Handy: power (centre), role (rules), task (teams, expertise), person (individual professionals)
- Culture formed by founders, history, recruitment, rewards, structure; hard to change

- Shareholder view: maximise returns; stakeholder view: consider all groups; conflicts sharpest in the short run
- Ethics: trade-offs with profit; pay and rewards (CEO pay ratio, NLW, gender pay gap); CSR beyond the law